The Australian Effie Awards

General Entry Form 2016

Entry Number: 374

Agency BMF

Advertiser Sportsbet

Entry Title The idea that cost Sportsbet millions

Category for this Entry Online brands

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Directions appearing with each question must not to be deleted from the completed case; they serve as a guide for both entrants and judges. Complete entry form in - Type face: black font; 10pt minimum. All data must include a specific, verifiable source. Refer to the Effie "How to Enter" booklet for guidelines on properly sourcing your data. Data without a source will result in entry disqualification. Answer every question or indicate "not applicable" and define your target audience in the entry. Any unanswered question will result in entry disqualification.

Executive Summary (Please Attach the Executive Summary to the front of the entry so the judges can read this first)

An Executive Summary of no more than 100 words is also required (not included in page count).

Critics of the bookmaking industry claim that brands don't do enough to ensure responsible gambling, and that the 'gamble responsibly' message on advertising is insincere.

Sportsbet wanted to take the lead on the issue and find a way to encourage responsible gambling behaviour among its customers.

The solution was a world-first responsible gambling product that not only created a safer betting environment for Sportsbet customers, but also raised the bar for the industry.

With competitor brands copying our idea, we have achieved a significant reduction in harmful gambling behaviour among Australian punters.

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1. Total Campaign Expenditure

What was your total expenditure including development, media, production, agency fees and any other costs? Including production and value of donated media and non-traditional paid media.

$2.75m made up of $750,000 R&D costs for the responsible gambling product, plus $2m advertising costs ($500k creative production and $1.5m media).

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2. What was the strategic communications challenge?

What was going on in your category? Provide information on the category, marketplace, company, competitive environment, target audience and/or the product /service that created your challenge and your response to it.

Whether or not you agree with gambling, the fact that it has become more commonplace and less socially taboo means that the psychological barrier-to-entry is much lower today than ever before.

For the vast majority of Australians, gambling is a legitimate form of entertainment and they gamble responsibly within their means. However, a small percentage of people can encounter problems with their gambling behaviour.

The Productivity Commission's 2010 Gambling report puts problem gambling in Australia into context:

- Around 80% of the adult population gamble at least once per year.
- Gambling expenditure in Australia is approximately $18 billion per year, or $1,500 per capita.
- Sports betting represents just 3% of total spend, with racing accounting for 13.2%.
- In comparison, 52.2% is spent playing the 'pokies' in clubs and hotels, 20.7% on casino gaming and 10.9% on lotteries, pools and keno.
- Of the 15% of Australians that gamble regularly, only about 10% (115,000) of that number can be classified as a problem gambler, with 15% (280,000) being classed as facing 'moderate risk'.

Whilst most statistical models show that continuous forms of gambling, such as gaming machines or casino table games, are most likely to be identified as the cause of problems (EGMs have been implicated in around 75-80% of Australia's gambling problems), the growth of online betting presents new challenges in ensuring responsible gambling behaviour.

The most significant challenge is that, unlike EGMs (pokies) where behaviour is very apparent and localised, online betting behaviour is not restricted by location and can easily go unnoticed. Additionally, problem gambling can affect anybody, at any age, of any sex and any income bracket, so demographics offer no help to online providers in pre-empting detrimental behaviours.

One advantage that online betting companies do have is that they are able to spot patterns in betting data that might warrant an intervention. However, that is still a reactive procedure to an existing betting problem. The challenge for online betting brands is being able to proactively encourage responsible gambling behaviour among its customers.

As the largest online betting portal in Australia, Sportsbet wanted to take the lead on responsible gambling and do just that. The challenge set out by the business was:

Reduce the incidence of harmful gambling behaviour among sports and racing punters

Although the target audience for this project was Sportsbet customers (males 25-45 who are passionate about sport and use gambling as a tool to enhance their enjoyment of it) we also wanted this project to be a catalyst for other providers to up their responsible gambling initiatives too.

3. What were your objectives? State specific goals.

Your entry is expected to include compelling data including behavioural objectives and results. Only in rare instances are the judges likely to award an entry that only demonstrates attitudinal changes. Provide a % or # for all goals. If you do not have a specific type of objective (e.g. no quantifiable objectives), state this in the entry form and explain why and why the objectives you do have are significant and challenging in the context of your category, etc. You must provide benchmark and context for your goals versus year prior and in context of competitive landscape and category.

Our objective for this initiative was to encourage proactive responsible gambling behaviour among our customers,

[redacted]

4. What was your strategy – and how did you get there?

What was your strategy? Was it driven by a consumer insight or channel insight or marketplace / brand opportunity? Explain how it originated and how the strategy addressed the challenge.

Over recent years, behavioural economics has attracted a great deal of interest from the marketing community, with authors such as Richard Thaler and Cass Sunstein helping us to understand how we can best 'nudge' someone towards making 'better' decisions.

One of the most important lessons for marketers to come from behavioural economists is that human beings are not rational creatures and that our decisions are strongly influenced by context, social influences, emotions and cognitive biases, as well as the way in which choices are presented.

This challenges the view held by most marketers, which is that the right piece of information or incentive will influence consumer behaviour.

Given the complexity of betting behaviour we knew that a communications campaign alone wouldn't cut it. Simply 'raising awareness' or 'educating punters' wouldn't help us achieve our target.

To figure out how we could stimulate responsible gambling behaviour we undertook a three-step research approach:

1. We conducted research groups and one-to-one interviews with punters to build a picture of how Australians manage their gambling behaviour.
2. Having built a picture of gambling attitudes and behaviours in Australia, we set about reviewing the standard industry protocols that are meant to encourage responsible gambling in the different scenarios described by our respondents.
3. Finally, wherever we found barriers or shortcomings that hindered responsible gambling behaviour, we looked at each situation through the lens of behavioural economics to see if there might be a better way to achieve the desired goal.

Going through this process revealed three key behaviours that punters believed were necessary for them to gamble responsibly, but where the current industry protocol could be improved. The following table summarises these findings, along with the behavioural economics concept that helped us understand why the existing industry protocols were falling short:

	Punters told us they wanted to:	**Industry standard protocol to ensure responsible gambling**	**Relevant Behavioural Economics concept**
1.	Proactively curb their own risky behaviour	Set deposit limits when opening the account	**Hot vs. Cold states**
2.	Self-exclude from betting sites or venues	Provide a self-exclusion process	**Loss Aversion**
3.	Spot when their gambling behaviour is becoming problematic	Educate individuals about what constitutes risky behaviour	**Normative social influence**

Our findings in detail:

1. Hot vs. Cold states

We're all aware from personal experience that how we feel in a particular moment can cloud our judgment. Behavioural economists have named the state that can interfere with rational decision making as a 'hot' state. Examples include hunger, arousal or fear. The 'hot' vs. 'cold' gap is essentially a way of describing a person's tendency to underestimate (in a cold state) the effect of the hot state on their behaviour.

For instance, someone might decide that they will practice responsible gambling in the future, but then this doesn't happen in the 'hot' state (i.e. at the race tracks, watching the game with mates, down the pub having a drink).

We knew from our own data that many punters are interested in creating protective barriers around their betting behaviour. For instance, over 25% of all new Sportsbet customers elect to set a limit on how much they can deposit into their account over a set time period.

However, whilst deposit limits are an important tool in controlling the money available to bet, they don't enable a

punter in a 'cold' state to proactively manage their behaviour in an anticipated 'hot' state (e.g. *"going out drinking this arvo, don't want to bet on tonight's game when I've had a few"*).

Insight: Many punters in a 'cold' state have the desire to manage their 'hot' state behaviour, but currently have no ability to do so

2. Loss Aversion

There are numerous stories about stockbrokers almost sinking their banks when they've lost huge amounts of money, but were too embarrassed to admit it. Nick Leeson at Barings Bank is a famous example where he kept doubling-down trying to make money back, but ended up losing more than $2bn before the losses were uncovered.

Leeson later said, "I had this catastrophic secret that was burning up inside me, yet I simply couldn't open my mouth and say, 'I've lost millions and millions.'"

This story is a classic example of Loss Aversion, where a person's fear of loss (in Leeson's case, humiliation) exerts a greater influence on their actions than the potential benefit (getting help). It's often cited that people detest losses about twice as much as they enjoy gains!

In the context of responsible gambling we identified that Loss Aversion could be preventing some people from self-excluding from their betting provider, because the only way to self-exclude currently is to speak with customer service rep either on the phone or via Live Chat.

Because many punters see self-exclusion as a *"last resort when the situation has gotten completely out of control",* having to engage with a customer service rep and admit they they're having problems is a huge barrier (i.e. loss) because of the perceived embarrassment. As such, it's simply easier for them to do nothing.

Insight: The perceived embarrassment that accompanies the self-exclusion process outweighs the benefit of self-exclusion for problem gamblers

3. Normative social influence

One of the differences between behavioural economics and more rational models of human behaviour is that behavioural economics acknowledges the significant role that other people have on our decision-making.

An example of this is 'normative social influence', which basically means that we often conform to the attitudes and behaviours of our wider social group. It's the force that explains why people who drink or smoke excessively also report the same unhealthy behaviour within their personal networks.

When it comes to problem gambling 'normative social influence' can help explain why many people don't seek help for their problem, even though they are aware of the consequences and know what steps they should be taking. With problem gambling being a socially 'taboo' subject, many problem gamblers choose to keep their situation hidden from others for fear of becoming an outcast.

This insight is particularly important with regards to the design of communications meant to help people who have problematic behaviours. Rather than 'raising awareness' of the consequences or trying to 'educate' the individual about what they should do, communications would be more effective if they helped to normalise the problem in society and removed the stigma that was creating a barrier.

Insight: Before problem gamblers can act upon the advice in responsible gambling communications, the right conditions must be in place in their environment

Taken collectively these insights informed our strategy to make responsible gambling effortless through a redesign of the Sportsbet UX, whilst using ATL to support Sportsbet punters who needed to take a break from punting.

5. What was your big idea?

What was the idea that drove your effort?
The idea should not be your execution or tagline. **State in 25 WORDS OR LESS.**

Taking a break from betting should be as easy as placing a bet

6. How did you bring the idea to life?

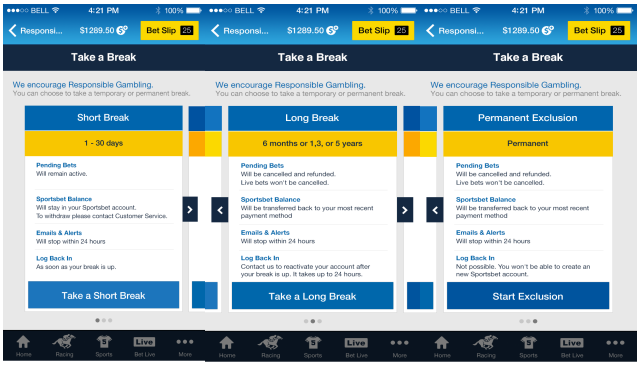
Describe and provide rationale for your communications **strategy** that brings the idea to life. Explain how your idea addresses your challenge. Describe the channels selected/why selected? How did your **creative and media strategies** work together? In not more than three A4 pages show sufficient creative examples to enable the judges to understand the campaign. These pages can be additional to the eight A4 page written entry.

The Sportsbet product development team leveraged our insights to bring the idea to life as follows:

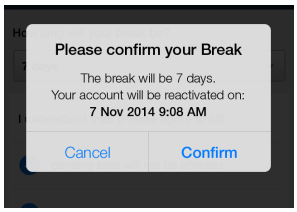
1. **"Many punters in a 'cold' state have the desire to manage their 'hot' state behaviour, but currently have no ability to do so"**
   To enable punters to proactively control their 'hot' state gambling behaviour, Sportsbet developed an industry-first responsible gambling product called Take a Break.

   Take a Break is a self-service option available on Sportsbet's desktop, mobile and iOS platforms and provides punters with the ability, in their 'cold' state, to take a break when they know they'll be in a 'hot' state. Customers can choose to lock themselves out of their accounts from a short-term period of time, a longer-term, all the way through to permanent exclusion.

   Customers that self-exclude for a short-term period are most likely doing so for protective reasons (e.g. self-exclude to avoid betting in an intoxicated state if they know they're going out drinking with mates, or to manage funds at the end of the month prior to being paid). Those that self-exclude for a long-term period are most likely addressing a behavioural trend of problem gambling. For these punters, it is less about controlling behaviour, but more about changing behaviour long-term.



2. **"The perceived embarrassment that accompanies the self-exclusion process outweighs the benefit of self-exclusion for problem gamblers"**
   In developing the Take a Break product, the designers were mindful to make the feature a **self-service option** so as to remove the potential (Loss Aversion) barrier of having to talk to someone. Within just 4 taps on the iOS app, a customer can access the Take a Break feature and choose the length of time they wish to take a break from betting.



The BMF creative team leveraged our insights and brought the idea to life as follows:

3. **"Before problem gamblers can act upon the advice in responsible gambling communications, the right conditions must be in place in their environment"**
   We knew we would be the first bookmakers in the world to promote a responsible gambling product that

would drive behavioural change. However, we also knew that this was about more than just promoting the product we had created. Our insights told us that work needed to be done to create the right conditions for behavioural change to take place: We needed to help change the subject of responsible gambling from being difficult and taboo to being more accessible.

As such, we deliberately advertised Take a Break in the same inimitable style as all other Sportsbet ads. It was important to do this because adopting a corporate tonality would have been incongruous with our goal of normalising the subject.

In addition, we felt it important to challenge the stereotype that problem gamblers were somehow 'solitary figures'. We wanted to point out the obvious that they are no different from you and I; after all, we all have the potential to overextend ourselves in different areas of our lives from time to time.

Finally, by adopting the Sportsbet humour it allowed us to directly challenge the stigma and reassure blokes that good mates will have their back.

The opening line from our ad,

"Good mates can see when their mates need to take a break from the punt".



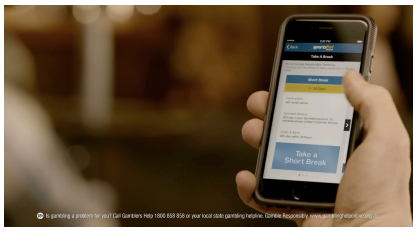
"That's a sign!"



"Oh, that's not a sign that's a billboard!"



"Righto, that's enough!"



"Take a Break. Good call!"

The campaign aired across TV, digital, social and radio platforms including presence on Channels 7, 9, 10, 7Mate, 11, Go! and One, regional networks WIN, NBN & Prime and radio stations 2GB, NOVA, Triple M, 3AW and SEN.

7. How do you know your campaign was successful?

Detail why you consider your effort a success. **Refer to your objectives** (results must relate directly to your objectives in (3) – restate them and provide results) and demonstrate how you met or exceeded those objectives using quantitative and behavioural metrics. Did your effort drive in-market results? Did it drive awareness and consumer behaviour change? Use charts and data whenever possible. Explain what x% means in your category. For confidential information proof of performance may be indexed if desired. Demonstrate the correlation between activity and outcomes.

Make sure you address every objective, whether fully achieved or not. Indicate why the results you have are significant in the context of your category, competition and product / service.

[redacted]

In terms of industry impact, Bet365 and Crownbet quickly followed suit and launched similar products (in the case of Crownbet, identical – even down to the name!). For us this is a really significant accomplishment: We set out to take the lead in the industry for responsible gambling, and in doing so we have raised the bar and inspired others to follow.

8. Did it achieve a positive ROI?

You need to convince the judges that the marketing investment provided a positive financial return – if that was a requirement. Indexing of data is acceptable. Your entry will not be ineligible if you don't provide any data, but entries that do provide convincing evidence will gain additional marks. (Note that this data can be excluded from the published case on request.) We recognise that, in some instances, a measurable financial return will not be an objective, but you will need to persuade the judges why not.

ROI measures by what percentage the incremental gross profit (not gross sales) generated exceeded the campaign costs/investment.

'Incremental' means comparing what happened, with what would be expected to happen had the campaign not taken place and/or that status quo maintained.

So, if the incremental gross profit is $1,000 and campaign costs are $1,000, they cancel each other out and the ROI is 0%. If additional gross profit was $1,500 the ROI is 50%.

(refer to the supplementary notes on ROI calculation)

[redacted]

[redacted]			

*NB: Gross profit margin is 100% as figures are based on attributed punter losses

9. Convince us that the result was not due to other factors.

You must explain in your entry the effect of any other potentially relevant factors such as product changes, pricing changes, distribution changes, competitive activity, press coverage, economic conditions, weather etc. You should acknowledge and estimate the role played by other factors and you should advise if the communications program led to other benefits accruing (such as retailers taking on more SKU's, improving space allocated and access to promotional activity, or even improved support from a sales force that has 'increased belief' in the brand). Advertising rarely works in isolation but the judges need to be convinced that your campaign had a major impact on results.

[redacted]

10. Do you think there are any lessons to be learned from this case about advertising effectiveness or measurement?

Judges will give additional marks to exceptional ideas, exceptional results and to cases that teach us something about how advertising works. A big idea is worth more than a lesser idea. A case that adds to our knowledge about advertising effectiveness or measurement deserves additional marks. These marks are open to the discretion of the judges. This is the "I wish I'd been responsible for that" factor. We Ask judges to reward great ideas, great results, originality, innovative measurement techniques, and penalise poorly written cases. High scores here will be the cases we want marketing students to be inspired by; the cases we can learn something from; the cases we want to showcase to the world.

One of the most significant challenges for business leaders at an executive level is how to maximise shareholder value whilst also safeguarding commitments to corporate social responsibility. There's a common assumption that the two are mutually exclusive and somehow incompatible.

It's the same assumption that asserts you can't be a socially responsible betting brand.

Of course, we disagree with both points of view.

No doubt, problem gambling is volatile and unsustainable. Most importantly, it is harmful to the individual, their friends and family and the community. It has both a social and economic cost and places a burden on community services which are often already under resourced. As a business and an industry, we do not want to increase this impact.

However, the simple truth is that to deliver shareholder returns in the future, the gambling industry needs to build a sustainable business model. The best way to do this is to develop a large customer base that bets regularly, in total control and over a long period. We want customers to stay with Sportsbet for the long term and bet recreationally and in line with the growth in the disposable income, but not in excess of their disposable income.

But it's not just gambling companies. All businesses that want to deliver shareholder returns need to have a point of view with regards to the longer-term sustainability of their customer community and the society in which they operate.

To that end, we'd like to use this paper to question whether marketers are using the right metrics to define and celebrate their own success? Is ROI the best measure for a business unit that plays such an integral role in setting up the future success of an organisation, or does it limit the role of marketing to nothing more than merely supporting a transaction?

Marketing has the potential to be a powerful strategic driver of organisations, but to ensure our seat at the top table we need to emphasise marketing's role in creating value over the long-term for all stakeholders.

General Entry Form 2016

AGENCY AND ADVERTISER AUTHORISATION

SIGNATURE FOR ENTRY BY COMPANY OFFICERS

We certify on behalf of:

STEPHEN MCARDLE (Agency CEO) and BARNI EVANS (CMO) (Client Company CEO or equivalent)

that the information submitted for the attached campaign is a true and accurate portrayal of the objectives and results of that campaign.

We also certify that the campaign has not been found in breach of any advertising or marketing codes or in breach of any law within the Australian jurisdiction.

We acknowledge that the case study of this campaign may be published by The Communications Council or with the authorisation of The Communications Council, but that we will have the opportunity to remove such information from that case study that we regard as market sensitive or confidential.

Signature of ~~Officer of~~ Agency

Title: MANAGING DIRECTOR
Company: BMF
Date: 13 MAY 2016

Signature of Officer of Client Company

BRONTE CAMPBELL
Title: HEAD OF RESPONSIBLE GAMBLING
Company: SPORTSBET
Date: 13 MAY 2016